Stepping up EU cooperation with Taiwan

Since its political transition began in the 1980s, Taiwan has become a vibrant democracy and has also joined the ranks of high-income countries. Economic relations between the EU and Taiwan are flourishing, as illustrated by the fact that the EU is Taiwan's most important source of foreign direct investment. The European Parliament has repeatedly called for the EU to take the first steps towards a bilateral investment agreement. During its October II plenary session, Parliament is expected to debate EU-Taiwan political relations and cooperation and vote on a draft recommendation to the High Representative of the Union for Foreign Affairs and Security Policy.

Background

According to the 2020 ranking by the Economist Intelligence Unit, Taiwan is one of the best functioning democracies not only in east and south Asia but also worldwide. It is also one of few countries not to have fallen into the 'middle-income trap' but to have been able to rise to the ranks of the high-income countries.

China considers Taiwan to be a renegade province and therefore rejects its participation as a member of United Nations agencies or other international organisations that limit membership to states. Since the re-election of (more independence-minded) President Tsai in early 2020, intrusions into Taiwan's air and sea space by the Chinese military have become much more frequent and bold, consisting essentially of 'grey-zone' operations that seek to change the status quo incrementally. Beijing has also been engaging in aggressive cyberwarfare and disinformation against Taiwan, and is continuing to block Taiwan's participation in international organisations. Recently, Taiwan quickly followed China in applying for membership of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). Analysts suggest that Taiwan's application was precipitated by fears that China – once a CPTPP member – might block Taiwan's membership of the partnership, in a move to isolate it.

European Union relations with Taiwan

While the EU pursues its 'One China' policy and recognises the government of the People's Republic of China as the sole legal government of China, the EU and Taiwan have developed a solid relationship. The European Economic and Trade Office acts as the EU's base in Taiwan, reflecting inter alia the dynamic trade relationship: trade in goods between the EU and Taiwan increased by 9.1 % in 2019, reaching a new record of €50.5 billion, making Taiwan the EU's fifth largest trading partner in Asia, and the EU, in turn, Taiwan's fourth globally. In 2019, the EU was the most important source of foreign direct investment in Taiwan, accounting for a quarter of total stock. The EU and Taiwan hold annual bilateral trade consultations, an industrial policy dialogue, a dialogue on digital economy, and collaborate in various sectoral working groups. There is also an annual consultation on human rights.

European Parliament position

On 1 September 2021, Parliament's Committee on Foreign Affairs (AFET) adopted an own-initiative report on EU-Taiwan relations with a draft recommendation under Rule 118. Given Taiwan's role as a robust democracy in the Indo Pacific with technologically advanced industries, the report calls for an enhanced partnership with Taiwan and for the intensification of bilateral investments, in particular in industries where Taiwan is a leader, such as semiconductors. The report reiterates calls for steps towards a bilateral investment agreement and meaningful participation for Taiwan in international organisations. It also expresses concern at China's continued military belligerence towards Taiwan, encourages cooperation in confronting disinformation and commends Taiwan as an outstanding partner in promoting human rights.

Own-initiative report: 2021/2041(INI); Committee responsible: AFET; Rapporteur: Charlie Weimers (ECR, Sweden).

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